



PAUL F. KENEALLY, PARTNER
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April 9, 2021

VIA EMAIL (hspanfelner@outlook.com) & FIRST-CLASS MAIL

FOR SETTLEMENT PURPOSES ONLY, WITHOUT PREJUDICE

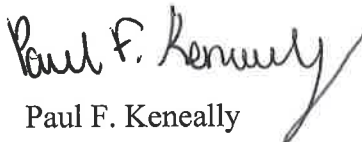
Mr. Robert Spanfelner
8823 Lombardi Drive
Cicero, New York 13039

Dear Mr. Spanfelner:

Please be advised that we represent your former employer Johnstone Supply ("Johnstone") regarding your claim for additional compensation from it. As you know, your resignation from Johnstone occurred on February 1, 2021 and you have provided no services to it since then.

Johnstone does not agree that it owes you any further compensation, and certainly not any commissions on sales to customers to whom you were not assigned by Johnstone Focus Group list (attached), and which you wrongfully assigned to yourself in the system. Nevertheless, in the interest of an amicable resolution of the issue given your long tenure with Johnstone, Johnstone proposes to pay you the amount indicated in the attached sales detail and commission payout documents as "gross commission". Please advise and we will provide an agreement to that effect for you and Johnstone to execute.

Sincerely,


Paul F. Keneally

PFK:afh

cc: Ken Livingston (via email)
Ann Maynard (via email)

2020 Focus Group

Spanfeller

Code	Customer Number	Customer Name
02	12372	JHP INDUSTRIAL SPLY CO-PROJECT
0H	03118	DOUG MAPSTONE INC
1H	01794	BIKOWSKY HVAC
0H	05632	MARTIN'S ELEC, HTG, PLBG
SC	06321	ONONDAGA-CORTLND-MADISN BOCES
SC	07845	SYRACUSE UNIVERSITY
0H	04353	HSC ASSOC HTG & A/C
AP	11934	FAIRWAYS @ TIMBERBANKS- DHM
0H	12512	AP PLUMBING SYRACUSE
MH	08750	WOODCOCK & ASSOC - CONST
MH	01277	AIRSIDE TECHNOLOGY CORP
0H	04243	HILL'S HEATING & A/C
0H	02615	COONEY A/C & HTG
0I	01257	AIR INNOVATIONS
0H	01482	ANGELO CHIDO HTG & AC
SC	07785	SUNY AT CORTLAND
0P	01186	ADAM'S PLUMBING
SC	04475	ITHACA CITY SCHOOL DIST
MH	12371	WOODCOCK & ASSOC CONST-PROJECT
MU	02651	CORTLAND CTY BLDG & GRNDS
0B	08299	UNITED RADIO SERVICE
AP	04201	HERITAGE PARK APTS, LLC
0H	04309	HOMETOWN HEATING AND AC
0R	12119	KEYES
AP	08433	VILLAGE GREEN APTS - DHM
02	04655	JHP INDUSTRIAL SPLY CO
CP	08331	UPSTATE PORTFOLIO LLC SYR
SC	05330	LEMOYNE COLLEGE
AP	04119	HARBORSIDE MANOR - DHM
HO	07633	ST JOSEPH'S HOSP HEALTH
0R	01125	ABC REFRIGERATION & A/C
0H	02299	CENTURY HTG & A/C
AP	07314	SADDLE CLUB APTS - DHM
0H	02296	CENTRAL WAREHOUSE SUPPLY
AP	03203	EAGLES POINT APTS - DHM
0R	01154	ACCURATE REFRIGERATION
SC	02520	COLGATE UNIVERSITY
AP	03468	FAIRVIEW APTS - DHM
AP	03950	GRANT VILLAGE APTS - DHM
02	05929	MODULAR MECHANICAL SVC
0I	02698	CPP - SYRACUSE INC
HO	07798	SUNY UPSTATE MEDICAL
SC	02364	CHITTENANGO CSD
SC	06369	ONONDAGA COMM COLLEGE
MH	12136	HYDE-STONE MECH CONT INC
AP	01943	BRAESIDE APTS - DHM
HO	02741	CROUSE HEALTH HOSP INC
SC	05993	MORRISVILLE STATE COLLEGE
SC	07846	SYRACUSE UNIVERSITY
MH	08142	TOWN MECHANICAL
AP	08629	WESTMONSTER PLACE - DHM

January Sales/GP
Sales Code 006
(Spanfeller)

Branch	Slsmn Code	Order Date	Invoice Date	Customer #	Customer Name	Invoice #	Sales	GP
269	006	01/11/2021	01/12/2021	0001257	AIR INNOVATIONS	2045012	\$ 122.40	\$ 53.76
269	006	01/08/2021	01/13/2021	0001257	AIR INNOVATIONS	2044984	\$ 699.50	\$ 290.50
269	006	01/21/2021	01/22/2021	0001257	AIR INNOVATIONS	2045306	\$ 153.00	\$ 67.20
269	006	01/08/2021	01/08/2021	0001277	AIRSIDE TECHNOLOGY CORP	2044976	\$ -	\$ -
269	006	01/08/2021	01/08/2021	0001277	AIRSIDE TECHNOLOGY CORP	2044977	\$ -	\$ -
269	006	01/08/2021	01/08/2021	0001277	AIRSIDE TECHNOLOGY CORP	2044978	\$ -	\$ -
269	006	11/30/2020	01/13/2021	0001277	AIRSIDE TECHNOLOGY CORP	2043879	\$ 699.99	\$ 128.55
269	006	01/28/2021	01/29/2021	0001277	AIRSIDE TECHNOLOGY CORP	2045519	\$ 346.00	\$ 145.76
269	006	01/04/2021	01/04/2021	0001482	ANGELO CHIODO HTG & AC	P218887	\$ 272.82	\$ 83.59
269	006	01/04/2021	01/04/2021	0001482	ANGELO CHIODO HTG & AC	P218889	\$ 32.72	\$ 7.20
269	006	01/04/2021	01/04/2021	0001482	ANGELO CHIODO HTG & AC	P218893	\$ -	\$ -
269	006	01/05/2021	01/05/2021	0001482	ANGELO CHIODO HTG & AC	P218904	\$ 119.99	\$ 50.57
269	006	01/11/2021	01/11/2021	0001482	ANGELO CHIODO HTG & AC	P218962	\$ 121.00	\$ 34.52
269	006	01/14/2021	01/14/2021	0001482	ANGELO CHIODO HTG & AC	P218823	\$ 12.45	\$ 5.12
269	006	01/14/2021	01/14/2021	0001482	ANGELO CHIODO HTG & AC	P219007	\$ 192.37	\$ 66.50
269	006	01/14/2021	01/14/2021	0001482	ANGELO CHIODO HTG & AC	P219012	\$ 100.50	\$ 39.01
269	006	01/05/2021	01/06/2021	0001794	BIKOWSKY HVAC	2044870	\$ 207.71	\$ 31.16
269	006	12/10/2020	01/15/2021	0001794	BIKOWSKY HVAC	2044233	\$ 69.75	\$ 35.54
269	006	12/28/2020	01/05/2021	0003118	DOUG MAPSTONE INC	2044721	\$ 121.76	\$ 26.79
269	006	01/05/2021	01/07/2021	0003118	DOUG MAPSTONE INC	2044856	\$ 105.75	\$ 28.00
269	006	01/07/2021	01/07/2021	0003118	DOUG MAPSTONE INC	2044923	\$ (18.26)	\$ (7.67)
269	006	01/07/2021	01/07/2021	0003118	DOUG MAPSTONE INC	2044925	\$ (121.76)	\$ (26.79)
269	006	01/21/2021	01/28/2021	0004119	HARBORSIDE MANOR - DHM	2045287	\$ 425.75	\$ 160.55
269	006	01/27/2021	01/27/2021	0004201	HERITAGE PARK APTS, LLC	P219167	\$ 39.73	\$ 15.89
269	006	01/27/2021	01/27/2021	0004201	HERITAGE PARK APTS, LLC	P219168	\$ 4.17	\$ 1.67
269	006	01/05/2021	01/05/2021	0004243	HILL'S HEATING & A/C	2044878	\$ 130.47	\$ 39.14
269	006	01/06/2021	01/07/2021	0004243	HILL'S HEATING & A/C	2044907	\$ 152.15	\$ 53.25
269	006	01/07/2021	01/08/2021	0004243	HILL'S HEATING & A/C	2044941	\$ 222.26	\$ 48.90
269	006	01/12/2021	01/13/2021	0004243	HILL'S HEATING & A/C	2045052	\$ 497.57	\$ 108.97
269	006	01/13/2021	01/14/2021	0004243	HILL'S HEATING & A/C	2045094	\$ 576.00	\$ 144.00
269	006	01/13/2021	01/14/2021	0004243	HILL'S HEATING & A/C	2045100	\$ 30.53	\$ 18.32
269	006	01/21/2021	01/22/2021	0004243	HILL'S HEATING & A/C	2045293	\$ 61.87	\$ 16.83
269	006	01/22/2021	01/25/2021	0004243	HILL'S HEATING & A/C	2045333	\$ 144.07	\$ 38.90
269	006	01/28/2021	01/29/2021	0004243	HILL'S HEATING & A/C	2045529	\$ 5.88	\$ 1.88
269	006	01/28/2021	01/29/2021	0004243	HILL'S HEATING & A/C	2045544	\$ 89.20	\$ 19.63
269	006	01/29/2021	01/29/2021	0004243	HILL'S HEATING & A/C	2045583	\$ 211.07	\$ 47.12
269	006	01/08/2021	01/11/2021	0004353	HSC ASSOC HTG & A/C	2044981	\$ 689.90	\$ 205.54
269	006	12/17/2020	01/04/2021	0004475	ITHACA CITY SCHOOL DIST	2044451	\$ 17.09	\$ 8.53
269	006	12/31/2020	01/04/2021	0004475	ITHACA CITY SCHOOL DIST	2044801	\$ 208.69	\$ 66.42
269	006	01/05/2021	01/07/2021	0004475	ITHACA CITY SCHOOL DIST	2044889	\$ 578.54	\$ 155.89
269	006	12/10/2020	01/08/2021	0004475	ITHACA CITY SCHOOL DIST	2044244	\$ 29.97	\$ 9.78
269	006	01/06/2021	01/08/2021	0004475	ITHACA CITY SCHOOL DIST	2044908	\$ 49.61	\$ 12.25
269	006	01/08/2021	01/11/2021	0004475	ITHACA CITY SCHOOL DIST	2044964	\$ 383.14	\$ 120.06
269	006	01/08/2021	01/11/2021	0004475	ITHACA CITY SCHOOL DIST	2044992	\$ 356.24	\$ 104.20
269	006	01/05/2021	01/13/2021	0004475	ITHACA CITY SCHOOL DIST	2044869	\$ 416.25	\$ 102.09
269	006	01/19/2021	01/20/2021	0004475	ITHACA CITY SCHOOL DIST	2045236	\$ 85.25	\$ 50.44
269	006	01/20/2021	01/21/2021	0004475	ITHACA CITY SCHOOL DIST	2045269	\$ 380.32	\$ 105.77
269	006	01/22/2021	01/27/2021	0004475	ITHACA CITY SCHOOL DIST	2045320	\$ 132.24	\$ 47.64
269	006	01/28/2021	01/29/2021	0004475	ITHACA CITY SCHOOL DIST	2045518	\$ 180.94	\$ 65.14
269	006	01/05/2021	01/05/2021	0005330	LEMOYNE COLLEGE	P218894	\$ 6.28	\$ 2.26
269	006	01/12/2021	01/12/2021	0005330	LEMOYNE COLLEGE	P218981	\$ 470.25	\$ 145.39
269	006	01/14/2021	01/14/2021	0005330	LEMOYNE COLLEGE	P219009	\$ 55.28	\$ 17.64
269	006	01/04/2021	01/06/2021	0005632	MARTIN'S ELEC, HTG, PLBG	2044850	\$ 2,118.00	\$ 625.84
269	006	01/08/2021	01/11/2021	0005632	MARTIN'S ELEC, HTG, PLBG	2044973	\$ 249.98	\$ 71.86

January Sales/GP

Sales Code 006

(Spanfelner)

Branch	Slsmn Code	Order Date	Invoice Date	Customer #	Customer Name	Invoice #	Sales	GP
269	006	01/08/2021	01/12/2021	0005632	MARTIN'S ELEC, HTG, PLBG	2044975	\$ 60.72	\$ 32.56
269	006	01/19/2021	01/20/2021	0005632	MARTIN'S ELEC, HTG, PLBG	2045226	\$ 294.29	\$ 75.60
269	006	01/08/2021	01/27/2021	0005632	MARTIN'S ELEC, HTG, PLBG	2044979	\$ 719.76	\$ 282.96
269	006	01/28/2021	01/29/2021	0005632	MARTIN'S ELEC, HTG, PLBG	2045516	\$ 167.76	\$ 84.48
269	006	01/20/2021	01/21/2021	0007314	SADDLE CLUB APTS - DHM	2045256	\$ 188.97	\$ 93.75
269	006	01/04/2021	01/04/2021	0007845	SYRACUSE UNIVERSITY	P218881	\$ 856.63	\$ 128.51
269	006	01/04/2021	01/04/2021	0007845	SYRACUSE UNIVERSITY	P218882	\$ 856.65	\$ 128.53
269	006	01/27/2021	01/27/2021	0007845	SYRACUSE UNIVERSITY	2045502	\$ 140.26	\$ 44.88
269	006	01/26/2021	01/28/2021	0007845	SYRACUSE UNIVERSITY	2045444	\$ 148.16	\$ 38.63
269	006	01/27/2021	01/29/2021	0007845	SYRACUSE UNIVERSITY	2045505	\$ 68.75	\$ 44.60
269	006	01/05/2021	01/06/2021	0008750	WOODCOCK & ASSOC - CONST	2044861	\$ 130.60	\$ 54.85
269	006	12/31/2020	01/08/2021	0008750	WOODCOCK & ASSOC - CONST	2044795	\$ 109.00	\$ 45.44
269	006	01/14/2021	01/15/2021	0008750	WOODCOCK & ASSOC - CONST	2045127	\$ 73.00	\$ 22.39
269	006	01/26/2021	01/26/2021	0008750	WOODCOCK & ASSOC - CONST	2045441	\$ (126.62)	\$ (59.30)
269	006	01/19/2021	01/28/2021	0011934	FAIRWAYS @ TIMBERBANKS- DHM	2045234	\$ 382.73	\$ 135.61
269	006	01/19/2021	01/29/2021	0011934	FAIRWAYS @ TIMBERBANKS- DHM	2045234-01	\$ 135.00	\$ 52.20
269	006	01/05/2021	01/05/2021	0012512	AP PLUMBING SYRACUSE	2044868	\$ 96.50	\$ 24.13
269	006	01/06/2021	01/06/2021	0012512	AP PLUMBING SYRACUSE	2044914	\$ 61.32	\$ 25.62
269	006	01/06/2021	01/06/2021	0012512	AP PLUMBING SYRACUSE	2044915	\$ 53.61	\$ 22.15
269	006	01/08/2021	01/08/2021	0012512	AP PLUMBING SYRACUSE	2044955	\$ 76.53	\$ 34.60
269	006	01/08/2021	01/08/2021	0012512	AP PLUMBING SYRACUSE	2044969	\$ -	\$ -
269	006	01/04/2021	01/11/2021	0012512	AP PLUMBING SYRACUSE	2044826	\$ 149.50	\$ 67.70
269	006	01/06/2021	01/15/2021	0012512	AP PLUMBING SYRACUSE	2044896	\$ 41.10	\$ 15.14
269	006	12/21/2020	01/15/2021	0012512	AP PLUMBING SYRACUSE	2044546-01	\$ 858.22	\$ 280.06
269	006	12/21/2020	01/29/2021	0012512	AP PLUMBING SYRACUSE	2044546-02	\$ 429.11	\$ 140.03

Total \$25,093.93 \$7,573.02

Total Authorized \$18,207.93 \$5,506.22

Color Key

2020 Focus Group Accounts that Spanfelner asked to keep for his focus group in 2021

2020 Focus Group Accounts that Spanfelner wanted removed from his focus group in 2021

Commission Payout

Monthly Commission Calculations (2020 Focus Group: Commission w/Salary)

Month	2021 Base		2021 Plan		2021 Actual			Commission Calculations using 2020 Rates						
	Base Monthly Sales	Base Monthly Gross Margin @19.871%	Targeted Monthly Sales	Targeted Monthly Gross Margin @19.836%	Monthly Sales	Monthly Gross Margin	%	Maintenance Commission	Rate	Growth Commission	Rate	Margin Commission	Rate	Gross Commission
Jan	\$36,456.07	\$ 7,244.16	\$41,913.83	\$ 8,313.94	\$ 18,207.93	\$5,506.22	30.24%	\$ 770.87	14.00%	\$ -	16.00%	\$ 113.29	6.00%	\$ 884.16

Authorized Sales Only,
2020 commission rates